

The complaint

Mr F has complained about the way U K Insurance Limited (“UKI”) handled a claim under his home insurance policy after his property was subject to an escape of water.

What happened

In February 2018, Mr F’s home was subject to an escape of water which caused damage to his bathroom, kitchen and spare room. Mr F arranged for the leak to be fixed and made a claim to UKI.

UKI accepted the claim. It conducted checks to confirm there was no asbestos present in the property. Following this, in April 2018, its contractor certified that the property had dried.

Mr F said he would like UKI to arrange for the repairs to be carried out. UKI appointed a loss adjuster to manage the claim. However, there were problems of communication between Mr F and the other parties, and disagreements also arose over the scope of works which should be covered by the claim. Mr F raised complaints over the handling of the claim and UKI agreed to make compensation payments totalling £350.

Eventually, in July 2019, reinstatement work began. However, further disputes arose.

In August 2019, Mr F complained to UKI about the handling of the claim. He raised a number of issues. These included: the scope of the work; the quality of the work; the non-replacement of his cooker; the unauthorised removal of a bed; the non-testing of the boiler; the safety of the electrics; the damage caused to items around the house; and the rudeness of UKI’s contractors.

UKI issued a final response to the complaint in November 2019. It disputed that the cooker had been damaged by the escape of water and therefore it didn’t agree to replace this. It noted that the bed had been removed from the property through an apparent misunderstanding and said it would arrange for its contractor to return this. It said that the reason there were gaps in the tiled floor in the kitchen was because Mr F had chosen to revise the kitchen layout and therefore he would have to pay for the additional tiling which was required. It also said that plastering hadn’t been carried out in the spare room because the plasterwork in that room hadn’t been damaged. It noted that Mr F would no longer allow the contractor to work on his property and said that it would therefore work out a cash settlement to allow him to complete the outstanding work. It also accepted that there had been delays, that some of the repair work carried out was below standard, and that Mr F and his daughter had been caused some distress in their dealings with the contractors. It offered £400 compensation for these issues.

In December 2019, having assessed the outstanding work, UKI offered Mr F £362 in settlement of his buildings claim (including £94 to cover additional electricity costs which he incurred during the claim) and £700 in settlement of his contents claim.

Mr F was unhappy at UKI’s response to his complaint. He referred his complaint to us.

During the course of our investigation, UKI realised it had calculated the settlement of the buildings claim incorrectly and increased this to £724.

Our investigator recommended that the complaint should not be upheld. She considered that the revised cash settlement offer for the buildings claim was fair. She noted that there was a dispute over whether UKI's contractor was at fault for removing the bed (which had been left outside the property) in the belief it was intended for disposal but she considered that UKI had acted reasonably by trying to return the bed, albeit that Mr F hadn't accepted its return. She considered there was no evidence to support that the cooker had been damaged by the escape of water and so it was reasonable for UKI to decline cover for the replacement of this. She considered that the contents settlement offer of £700 was fair and was based on the damaged items which had been validated by the loss adjuster; she said that if Mr F wanted to claim for more than this he would need to provide evidence to substantiate his loss. She noted that there had been problems in the handling of the claim but considered that UKI's offer of £400 compensation, on top of the £350 it had already paid, was fair, particularly as some of the problems had been caused by Mr F being unavailable when UKI and its contractors had repeatedly tried to contact him.

Mr F didn't accept the investigator's findings. He made the following comments:

- the repair work was poor, didn't conform to the scope which had been agreed and would cost more to complete than the cash settlement amount offered by UKI;
- in particular, the kitchen had been poorly fitted and he'd not been informed that there would be a problem with an exposed area of untiled floor;
- the cooker had been damaged by the escape of water and he'd been led to believe that UKI would cover its replacement;
- the electrics in his property had been left unsafe;
- the boiler had now been cleaned of debris left by UKI's contractor but he had been advised it needed to be replaced;
- the property had not been properly dried as there were ongoing problems with damp;
- he'd intended to rent out the spare room but this hadn't been possible during the claim and therefore he should be compensated for the loss of rental income he'd suffered;
- he'd refused the return of the bed because it had been damaged in the course of the removal;
- other water-damaged items had been stored in the garage for three months and viewed by UKI's loss adjuster so he didn't understand why not all these were included in the contents settlement.
- the compensation was inadequate for the delays and poor handling of the claim;

In view of the continued disagreement, the matter has been passed to me for a decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and

reasonable in the circumstances of this complaint.

Outstanding repair work and cash settlement for buildings claim

In October 2019, UKI arranged for its contractor and loss adjuster to meet with Mr F at his property to discuss the outstanding work. I have seen a report of that meeting and the accompanying photographs. I'm satisfied that the agreed work had been carried out but some of this was not of an adequate quality and so there were some snagging issues. The loss adjuster considered that it would take up to two days for a decorator to make good the poor decorations and one or two days for a carpenter to resolve issues with a worktop, a splashback, a toilet door and a vanity unit. I consider this was reasonable.

Mr F made clear that he didn't want the contractor back at his property. UKI therefore offered a cash settlement of £362 comprised of £267 to cover the cost of a decorator, carpenter and an electrical inspection, plus £94 to cover Mr F's extra electricity costs. It increased this settlement offer to £724 during the course of our investigation after it recognised it had made a mistake in its calculations.

I consider that UKI still didn't properly allow for the cost of tradesmen for the required periods but it has since paid Mr F a further £362 in acknowledgement of this. I'm satisfied that the eventual cash settlement offer of £1,086 (before the deduction of the policy excess) is fair and that UKI doesn't need to pay more than this in respect of the buildings claim.

Fitting of kitchen

According to the evidence, Mr F wanted to change the layout of his kitchen. The floor of the kitchen hadn't been damaged by the escape of water. However, as a result of the change in layout, a small section of floor which had previously been hidden, and hence untiled, was now exposed. And Mr F has been unable to find a matching tile. This is unfortunate but, since the flooring was not covered under the claim, I consider it is not UKI's responsibility to put the matter right.

Mr F has also complained about the quality of the work carried out in the kitchen. However, I'm satisfied that any problems in this regard were addressed through the cash settlement described above.

Cooker

Mr F says the cooker was damaged by the escape of water, albeit that he didn't realise this until some time later. However, there is no expert evidence to show the cooker was damaged in the escape of water and I can see nothing to indicate to UKI ever agreed to replace it.

Electrics

It appears that there were problems with the wiring in Mr F's property but these were to do with age rather than the escape of water. It wasn't UKI's responsibility to put right problems which were unrelated to the claim. Mr F was unwilling to fit an earth cable throughout the property and UKI's contractor therefore agreed as a workaround solution to instead fit double insulated lights to replace those which had been damaged. I consider this was fair. As noted above, UKI agreed to cover the cost of an electrical inspection so that Mr F could reassure himself that the work which had been carried out was safe and I consider this was fair also. Mr F hasn't provided any evidence to show that the work which was carried out was unsafe so I don't consider there is anything more which I can reasonably ask UKI to do.

Boiler

After Mr F raised concerns about the boiler, UKI agreed to cover the cost of an inspection. Mr F has now arranged that inspection and UKI has reimbursed him accordingly. I've seen no evidence to show that the boiler was damaged as a result of the escape of water. I therefore don't consider that UKI is required to do anything more in respect of the boiler.

Drying of property

Mr F says he has ongoing issues of damp at his property which causes him to believe the property was never properly dried following the escape of water. However, Mr F has provided no expert evidence to support that the damp issues he is now experiencing are related to the original escape of water. UKI has provided a drying certificate issued by its contractor in April 2018. I've therefore no reasonable grounds for concluding that the property wasn't properly dried.

Loss of rent

Mr F thinks he should be compensated for the loss he has suffered as a result of not being able to rent out his spare room. However, while I note that Mr F says this is what he intended to do and he has provided an advert for the room which he placed in March 2020, there is no evidence to show he ever intended to let the room sooner than this. I therefore don't think he has made a compelling argument that he suffered a loss of rental income because of either the escape of water or the poor handling of the claim. Furthermore, apart from the brief period while work on the kitchen was being carried out, the property was habitable anyway so I can't reasonably say he was prevented from renting out the room if he wished.

Bed

Mr F says he temporarily left a bed covered in tarpaulin in the garden. It was in the proximity of items which were to be disposed of and UKI's contractor mistook it for one of those items. However, on learning that Mr F did not want the bed to be removed, UKI arranged for the contractor to return it. I consider this was reasonable. When the contractor tried to return the bed, Mr F wouldn't accept it because he considered it had been damaged in the removal process. However, while Mr F has provided a photo of the bed from when the contractor attempted to return it, I don't have evidence to show that the contractor damaged the bed. In view of this, I can't reasonably say that UKI has done anything wrong.

Other contents

Mr F says that he had a number of other items which were damaged in the escape of water which he had kept in the garage for three months before disposing of them. He says that UKI's loss adjuster and contractor both saw the majority of these items and that UKI gave permission for him to dispose of the items. However, there is no evidence to this effect on the file. I'm satisfied that UKI has provided cover for those items which Mr F has been able to show were damaged in the escape of water. I don't consider it needs to provide cover for other items which he says were damaged but for which he is unable to provide evidence.

Compensation

UKI accepts that its service was not as good as it should have been. There were delays in the resolution of the claim (though I can see that these were often due to difficulties in getting hold of Mr F). The quality of some of the work fell short of appropriate standards. And Mr F found UKI's contractors difficult to deal with. I appreciate that these factors will have

caused Mr F a degree of trouble and upset. However, I'm satisfied that its offer of £400 compensation, on top of the £350 it had paid earlier, was fair.

My final decision

For the reasons given above, my final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr F to accept or reject my decision before 10 March 2021.

David Poley

Ombudsman